

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

UROŠ SKAKAVAC, *Claimant*

v.

SLAVICA TRANS, INC., *Respondent*.

DOCKET NO. 2051(I)

Served: June 11, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

This proceeding arises from an informal complaint (Claim) and supporting evidence filed by Uroš Skakavac (Claimant) with the Federal Maritime Commission (FMC or Commission) against Slavica Trans, Inc. (Respondent). Claimant alleges that Respondent violated 46 U.S.C. § 41102(c) of the Shipping Act.

In sum, Claimant contracted with Respondent, an ocean transportation intermediary, for international shipment of Claimant's personal property from the United States to Bosnia and Herzegovina. Claimant asserts that Respondent was responsible for all phases of the shipment. According to Claimant, upon arrival at the Port of Ploče, Croatia, the container lacked a required security seal causing the container to be detained for an inspection. Claimant requests reparations for detention and other port fees assessed in the amount of €2,320.00. *See Claim*.

Respondent contends that the presence of the container's seal number was included on several shipment documents at export from the United States. Following gate-in, Respondent asserts the container was no longer in its physical control and was handled by multiple third parties during transit. As such, Claimant has failed to prove that Respondent was responsible for Claimant's alleged injury. *See Response*.

Upon review of the record, I find that Claimant has not demonstrated a violation of section 41102(c) of the Shipping Act. Although Claimant was provided with an opportunity to demonstrate that Respondent's challenged conduct was unjust and unreasonable, and occurred on a normal, customary, and continuous basis, Claimant did not provide sufficient evidence to

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

support the elements of a section 41102(c) claim. Therefore, the Claim is **DENIED** and **DISMISSED**.

II. BACKGROUND

A. Procedural History

Claimant filed the Claim and supporting exhibits marked A through G with the Office of the Secretary (OS) on March 12, 2026. *See* Claim. OS served the Claim on March 18, 2026. *See* Notice of Filing of Small Claims Complaint and Assignment (NOF).

On March 23, 2026, Slavica Trans, Inc., filed a response to the Claim (Response) together with one exhibit. *See* Response. The Response did not indicate that Respondent refused the informal adjudication procedures of Subpart S, hence consent was presumed. 46 C.F.R. § 502.304(e).

On May 12, 2026, I was assigned as Small Claims Officer to adjudicate the Claim. *See* Notice of Assignment. On the same date, I issued an Order Requesting Additional Information and Documents (RFI). *See* RFI. The RFI ordered responses from the parties by May 26, 2026, and permitted the parties to reply to the other party's response by June 9, 2026. *Id.*

On May 13, 2026, Respondent filed a response (R. Resp. RFI) together with exhibits marked A through D. *See* R. Resp. RFI.

On May 20, 2026, Claimant emailed OS to file a response to the RFI. Attached as Claimant's response was an identical copy of the initial small claim and accompanying exhibits A through G. The only addition to the initial small claims packet was a certified translation of the Port of Ploče invoice marked as D-2. *See* C. Resp. RFI.

On May 20, 2026, Respondent filed a reply to Claimant's May 20, 2026, submission. *See* Reply.

B. Argument of the Parties

1. Claimant's Arguments

Claimant asserts that he contracted with Respondent, a licensed ocean transportation intermediary (OTI), for shipment of his personal property from the United States to Bosnia and Herzegovina. Claimant contends that Respondent was responsible for organizing international transport, preparing shipping documentation, and coordinating export procedures. Claimant further alleges that he relied upon Respondent's specialized knowledge of export compliance requirements, and container sealing procedures to ensure the shipment would not be subject to inspection and additional port penalty charges. According to Claimant, upon arrival at the Port of Ploče, the container lacked the necessary visible security seal indicating that the container had remained secure and free from tampering during transit. Claimant alleges that, as a result of the missing security seal, customs authorities detained the container for an inspection before discharge. Claimant requests reparations for container handling, storage and other port services in the amount of €2,320.00 incurred as a result of the missing seal.

2. Respondent's Arguments

Respondent denies the allegations and contends that Claimant has failed to meet the requirements of a section 41102(c) claim. Respondent asserts that multiple contemporaneous shipping records demonstrate the presence of seal number FX35611 on container number MSM6705102 throughout the shipping process. Specifically, Respondent points to the drayage gate-in receipt, house bill of lading, carrier waybill rider, and carrier/agent arrival notice at the Port of Ploče that identify seal number FX35611 in connection with the container. Respondent further argues that Claimant has not produced any documentary evidence establishing that the container lacked a security seal while in Respondent's custody and control. According to Respondent, the photograph Claimant submitted is insufficient because it does not show the container number, date, time or location and fails to establish that the container had not been handled by third parties at the time the photograph was taken. In addition, Respondent asserts Claimant has not produced any documentation from customs authorities, or any other entity, establishing the condition of the seal before discharge of the container or linking the selection of the container for a customs inspection to an alleged lack of a security seal. Respondent maintains that Claimant has failed to prove that any act or omission of Respondent occurring on a normal, customary, and continuous basis proximately caused either the customs inspection or the additional port fees invoiced. Accordingly, Respondent requests that Claimant's request for reparations be denied. *See* Response; Reply.

III. FINDINGS OF FACT (FF)

1. Claimant is an individual. Claim, at I.
2. Respondent is a licensed non-vessel-operating common carrier (NVOCC). R. Resp. RFI, at Q1; Reply, at 5.
3. It is undisputed that the parties entered into an agreement for Respondent to ship Claimant's personal property to Bosnia and Herzegovina. Claim, at I; Response, at 2.
4. The intermodal gate information for container MSMU6705102² shows that drayage company, Dana Express Trucking, Inc., delivered the container with seal number FX35611 at CSX Chicago on August 7, 2025. Response, at Exhibit 1; R. Resp. RFI, at Exhibit A.
5. Respondent issued house bill of lading ST-25215 for container MSMU6705102 reflecting seal number FX35611. Claim, at Exhibit A; R. Resp. RFI, at Exhibit B.
6. The carrier, Mediterranean Shipping Company S.A. (Mediterranean), issued sea waybill MEDUJZ715098 for container MSMU6705102 also reflecting seal number FX35611. R. Resp. RFI, at Exhibit C.
7. An arrival notice issued by the carrier's agent in Croatia identified container MSMU6705102 and reflected seal number FX35611. R. Resp. RFI, at Exhibit D.

² The intermodal gate information identifies the container as MSMU670510.

8. The record contains a photograph of the container showing no security seal. Claim, at Exhibit F.
9. Petra Marina d.o.o., Ploče, Croatia, invoiced Claimant for local port charges, loading and unloading, storage, penalty and freight forwarding charges in the amount of €2,320.00. Claim, at Exhibit D; C. Resp. RFI, at Exhibit D1-D2.

IV. DISCUSSION

A. Burden of Proof

A claimant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) Order Affirming Initial Decision on Remand. When direct evidence is unavailable, inferences may be drawn from certain facts, and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

B. Violation of 46 U.S.C. § 41102(c) is Not Established

Claimant alleges that Respondent violated 46 U.S.C. § 41102(c) because it “failed to exercise reasonable care and professional diligence in the preparation and handling of Claimant’s international shipment.” Claimant asserts this is an unjust or unreasonable practice. Claim, at VII.

Section 41102(c) of the Shipping Act prohibits common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property. 46 U.S.C. § 41102(c).

To establish a successful claim under section 41102(c), the Commission identified five elements that must be demonstrated:

- (a) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed act or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving , handling, storing or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and

(e) The practice proximately caused the claimed loss.

46 C.F.R. § 545.4.

The first element is that Respondent was operating as a regulated entity. The term “ocean transportation intermediary” means an ocean freight forwarder or an NVOCC. 46 U.S.C. § 40102(20). Here, Respondent states it acted as an NVOCC evidenced by its issuance of a house bill of lading and designation as “shipper” on the Mediterranean sea waybill. R. Resp. RFI, 1. Accordingly, this element is met.

The Claim, however, does not establish the second required element, that the claimed acts or omissions occurred on a normal, customary, and continuous basis. This claim involves only one shipment.

The Commission has stated that finding a section 41102(c) violation based on a single act or omission is inconsistent with the original intent of Congress. *See Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, Docket No. 14-15, 2019 WL 7631708, at *3 (FMC December 17, 2019). In rulemaking for 46 C.F.R. § 545.4, the Commission clarified that section 41102(c) is not intended to cover an isolated incident, but rather a pattern of behavior on a “normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). The types of business practices appropriately adjudicated under section 41102(c) involve practices that “negatively affect the broader shipping public.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2012) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367, 45368 (Sept. 8, 2018)).

In its discussion, the Commission rejected a line of previous cases that held “discrete conduct with respect to a particular shipment, if determined to be unjust and unreasonable, represents a violation of §41102(c), regardless of whether that conduct represents a respondent’s *practice or regulation*.” *Id.* (emphasis in original). The Commission explained, “[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.” *Id.* (emphasis in original). The Commission reiterated this intent in the final rule stating the rule “was never intended to be a method of resolving every dispute that arises in the receiving, handling storing or delivering of cargo.” *Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Instead, the Commission determined that a violation of § 41102(c) historically requires a showing that, “... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Id.* (citations omitted). “Commission precedent has made it clear that a single shipment or isolated act or omission does not show a pattern or practice.” *See Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Docket. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept 1, 2020)).

The Commission recognized that this interpretation would limit the types of claims that may be brought before the Commission, but determined this interpretation aligns more closely with the purpose of the Shipping Act. Traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367 (Sept. 8, 2018).

Additionally, the facts do not show that the challenged conduct was an unjust and unreasonable practice. Respondent has proven that the required container security seal was present when the container was gated-in at the port in Chicago. FF 4. The seal was also present when the carrier issued the sea waybill. FF 6. Although the record contains a photograph depicting a container without a visible security seal, even assuming that the security seal was not present at arrival in Croatia, this does not establish when, how or by whom the seal was removed, nor does it establish Respondent was responsible for its absence.

Moreover, the record lacks sufficient evidence establishing that customs inspection, detention, or assessed port charges resulted from the alleged absence of a security seal. Claimant did not submit documentation from customs authorities or port officials indicating that the inspection was initiated because the container lacked a seal.

Claimant's argument rests upon a theory that Respondent is responsible for all actions that occur throughout the transportation process. While this may give rise to a claim in another forum, the FMC only has jurisdiction over violations of the Shipping Act. *See Cargo One, Inc. v. COSCO Container Lines, Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission).

Claimant has not established that Respondent engaged in an unjust or unreasonable practice occurring on a normal, customary, and continuous basis. Accordingly, a section 41102(c) violation is not found. It is not necessary to address the remaining elements.

V. ORDER

For the foregoing reasons discussed above, I **HEREBY ORDER** that Claimant's Claim is **DENIED** and **DISMISSED**.

Debra L.
Tesh -S

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Debra L. Tesh
Small Claims Officer